

Court No. - 36

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Petitioner Counsel :- J.H. Khan, Gulrez Khan, W.H. Khan

Respondent Counsel :- C.S.C., H.P. Dube

Hon'ble Sheo Kumar Singh, J.

Hon'ble Yogesh Chandra Gupta, J.

Argument is that in 1997 the unit was closed and then it was auctioned in 2002 and the purchaser agreed with the petitioner to pay the amount towards electricity charges, if any, payable to the corporation and thus even after proceedings against the purchaser (respondent no. 7) by letter dated 22.9.2005, without any result of the same respondent corporation is now proceeding against the petitioner for the old dues and that too after such long time, may not be proper and legal.

Sri Dube, learned counsel for the respondent corporation submits that his executive engineer will look into the matter and after examining the record in respect to the outcome of the process so issued against the respondent no. 7 in 2005 will intimate this court the actual stand in respect to the matter in issue.

As prayed by Sri Dube, let the matter be placed again, as fresh, on 11th March, 2010.

Till the next date of listing petitioner no. 2, pursuant to the impugned process will not be arrested.

Order Date :- 26.2.2010

M.A.A.

Court No. - 36

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Petitioner Counsel :- J.H. Khan, Gulrez Khan, W.H. Khan

Respondent Counsel :- C.S.C., H.P. Dube

Hon'ble Sheo Kumar Singh, J.

Hon'ble Yogesh Chandra Gupta, J.

Put up on 23.3.2010, as fresh.

Interim order, if any, is extended till the next date of listing.

Order Date :- 11.3.2010

Kpy

Court No. - 36

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Petitioner Counsel :- J.H. Khan, Gulrez Khan, W.H. Khan

Respondent Counsel :- C.S.C., H.P. Dube

Hon'ble Sheo Kumar Singh, J.

Hon'ble Yogesh Chandra Gupta, J.

Counter-affidavit filed today be taken on record.

Learned counsel for the petitioners prays for and is granted three weeks' time for filing the rejoinder-affidavit.

List thereafter. Till the next date of listing the interim order shall remain in operation.

Order Date :- 23.3.2010

Zh

Court No. - 36

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Petitioner Counsel :- J.H. Khan, Gulrez Khan, W.H. Khan

Respondent Counsel :- C.S.C., H.P. Dube

Hon'ble Sheo Kumar Singh, J.

Hon'ble Yogesh Chandra Gupta, J.

List after three weeks.

Stay order is extended till the next date of listing.

Order Date :- 20.4.2010

Zh

Court No. - 37

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Vineet Saran, J.

Hon'ble Suneet Kumar, J.

List in the next cause list showing the name of Sri Mahboob Ahmad as learned counsel for the respondent.

Order Date :- 15.1.2014

kkm

(Suneet Kumar, J.) (Vineet Saran, J.)

Court No. - 37

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Vineet Saran, J.

Hon'ble Suneet Kumar, J.

Despite the order of this Court dated 15.01.2014 for showing the name of Sri Mahboob Ahmad as learned counsel for the respondents, his name has not been shown from the respondents side.

List in the next cause list showing the name of Sri Mahboob Ahmad as learned counsel for the respondents.

Interim order to continue till the next date of listing.

Order Date :- 22.1.2014

S.Prakash

(Suneet Kumar, J)

(Vineet Saran, J)

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

As requested on behalf of Sri W.H.Khan learned counsel for the petitioners the matter is passed over.

Order Date :- 28.4.2014

Pravin

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

Learned counsel for the petitioners states that he has filed a rejoinder affidavit in the office on 03.07.2010, the same is not available on record. Office is required to trace the same, place it on record and list the matter again.

Order Date :- 13.5.2014

Lbm/-

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

Passed over on the illness slip of Sri Mahboob Ahmad Khan,
learned counsel for the respondent.

Order Date :- 20.5.2014

Rmk.

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Sanjay Misra, J.

Hon'ble Anant Kumar, J.

Cause list has been revised. None appears on behalf of the private respondents in spite of repeated calls.

Learned counsel for the petitioner prays for adjournment.

As prayed, the writ petition is passed over.

Order Date :- 27.5.2014

pks

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Krishna Murari, J.

Hon'ble Ashwani Kumar Mishra, J.

Passed over on the request made by Sri W.H. Khan, learned senior counsel appearing on behalf of petitioners .

Order Date :- 2.7.2014

n.u.

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube

Hon'ble Krishna Murari, J.

Hon'ble Ashwani Kumar Mishra, J.

Passed over on the illness slip of Sri Mahboob Ahmad Khan, learned counsel appearing for the respondent.

Order Date :- 16.7.2014

Anil

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Shri Narayan Shukla, J.

The case is passed over on the request of the learned counsel for the petitioner.

List in the next cause list.

Order Date :- 14.10.2014

MAA/-

(Shri Narayan Shukla, J.)

(Tarun Agarwala, J.)

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Shri Narayan Shukla, J.

Passed over on the request of learned counsel for the petitioner.

Order Date :- 29.10.2014

A. K. Singh

(Shri Narayan Shukla, J.) (Tarun Agarwala, J.)

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Shri Narayan Shukla, J.

Passed over on the request of learned counsel for the petitioners.

Order Date :- 10.11.2014

A. K. Singh

(Shri Narayan Shukla, J.) (Tarun Agarwala, J.)

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Shri Narayan Shukla, J.

passed over on the illness of learned counsel for the respondent.

Order Date :- 26.11.2014

A. K. Singh

(Shri Narayan Shukla, J.) (Tarun Agarwala, J.)

Court No. - 39

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Dr. Satish Chandra, J.

Issue notice to respondent no.7 by registered post acknowledgment due.

Steps to be taken within a week.

List for admission after the expiry of four weeks on the date fixed in the summons, by which time the said respondent may file a counter affidavit.

Order Date :- 4.12.2014

Bhaskar

(Dr. Satish Chandra, J.)

(Tarun Agarwala, J.)

Court No. - 36

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Dr. Satish Chandra, J.

The cases of Sri W.H.Khan, the learned counsel for the petitioners are adjourned till 27.3.2015.

List thereafter.

Order Date :- 19.3.2015

AKJ

(Dr. Satish Chandra, J.) (Tarun Agarwala, J.)

Court No. - 32

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Dinesh Gupta, J.

The case is passed over on the illness slip of the learned counsel for the respondents.

Order Date :- 30.3.2015

MAA/-

(Dinesh Gupta, J.)

(Tarun Agarwala, J.)

Court No. - 32

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Amar Singh Chauhan, J.

Passed over on the request of the learned counsel for the petitioner.

Order Date :- 6.4.2015

Bhaskar

(Amar Singh Chauhan, J.) (Tarun Agarwala, J.)

Court No. - 32

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Pratyush Kumar, J.

Continuous adjournment is being sought on one or the other ground. Today the learned counsel for the petitioners has sent an illness slip.

The case is passed over today.

List peremptorily in the next cause list.

Order Date :- 27.4.2015

AKJ

(Pratyush Kumar, J.) (Tarun Agarwala, J.)

Court No. - 32

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Amar Singh Chauhan, J.

List in the next cause list peremptorily.

Office to submit a report on service on respondent no.7.

Order Date :- 11.5.2015

Bhaskar

(Amar Singh Chauhan, J.)

(Tarun Agarwala, J.)

Court No. - 32

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Tarun Agarwala, J.

Hon'ble Amar Singh Chauhan, J.

In view of the office report dated 18th May, 2015, office to take fresh steps to serve respondent no.7 by registered post acknowledgment due.

Steps to be taken within a week.

List for admission on 6th July, 2015 by which time the said respondent may file a counter affidavit.

Office will inform that service report is given on or before the next date.

In addition to the aforesaid, the petitioner will also take steps to service respondent no.7 by Dasti process.

Steps to be taken within the same period.

Order Date :- 25.5.2015

Bhaskar

(Amar Singh Chauhan, J.) (Tarun Agarwala, J.)

Court No. - 3

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Krishna Murari, J.

Hon'ble Amar Singh Chauhan, J.

Learned counsel for the petitioners prays for and is allowed two weeks time to file an affidavit of service.

List thereafter.

Order Date :- 6.7.2015

Puspendra

Court No. - 3

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Krishna Murari, J.

Hon'ble Amar Singh Chauhan, J.

Affidavit of service filed by the petitioners, is taken on record.

As per office report, neither the acknowledgment nor undelivered cover has been received back in the office.

On the request made on behalf of Sri Mahoob Ahmad, learned counsel appearing for the respondent, the case is passed over for the day.

List again.

Order Date :- 21.7.2015

Puspendra

Court No. - 3

Case :- WRIT - C No. - 10188 of 2010

Petitioner :- Rajee Steels Private Limited And Another

Respondent :- State Of U.P. And Others

Counsel for Petitioner :- J.H. Khan, Gulrez Khan, W.H. Khan

Counsel for Respondent :- C.S.C., H.P. Dube, Mahboob Ahmad

Hon'ble Krishna Murari, J.

Hon'ble Amar Singh Chauhan, J.

Heard Sri J.H. Khan, learned Senior Counsel assisted by Sri Gulrez Khan for the petitioner and Sri R.S. Umrao for respondent nos. 2 to 4.

Judgment reserved.

Order Date :- 20.8.2015

AK

Civil Misc. Writ Petition No. 10188 of 2010**Rajee Steels Pvt. Ltd. & Anr. -----****Petitioners****Versus****State of U.P. & Ors. -----****Respondents****Hon'ble Krishna Murari, J.****Hon'ble Amar Singh Chauhan, J.**

The two petitioners have filed this petition challenging the citation dated 11.02.2010 issued by respondent no. 6 for recovery of electricity dues and not to proceed with the aforesaid recovery on the basis of the recovery certificate and citation from either of the parties. Petitioner no. 1 is a private limited company registered under the Companies Act and petitioner no. 2 is the Managing Director of the company.

The company established a factory for manufacturing Mild Steel Ingots at Sathariya Industrial Development Area, Mungara Badhahpur, Machlishahr, Jaunpur and for the purpose made an application for supply of electrical energy before the U.P. State Electricity Board (predecessor of respondent nos. 2 to 4). Vide letter dated 27.11.1991, petitioner was sanctioned a connection with a load of 1900 KVA, which was subsequently reduced to 1100 KVA on the request made by the petitioner and a fresh agreement was executed between the parties. Admittedly, there was a default in making payment of dues, for supply of electrical energy, by the petitioner with the result that supply was temporarily disconnected on 26.03.1997 and a recovery certificate was issued against petitioner no. 2. Subsequently, the electricity connection was permanently disconnected and a final bill for an amount of Rs.36,61,248.14/- was raised against the petitioner.

It is to be taken note of at this stage the averment made in the counter affidavit filed on behalf of respondent nos. 2 to 4, which specifically mentions that the connection of the petitioner unit was permanently disconnected, but no date has been provided therein. Even the petitioner has not provided in his pleadings about the date of permanent disconnection. It is also an admitted case that the physical possession of the manufacturing unit, for which loan was advanced by Pradesh Industrial and Investment Corporation U.P. (for short the 'PICUP'), was taken over and sold by private negotiation to respondent no. 7 by PICUP for non-payment of its loan. Petitioner no. 2 filed objection before respondent no. 5, Collector, Jaunpur and also before respondent no. 4, Executive Engineer, Electricity Distribution Division II, Purvanchal Vidyut Vitran Nigam, Jaunpur that the recovery certificate issued in his name was illegal, inasmuch as the dues were that of the petitioner no. 1 and since the petitioner no. 2 has not given any personal guarantee for the payment of electricity dues, the same cannot be realised from

him. Respondent no. 5 thereafter returned the recovery certificate to respondent no. 4.

In the meantime, another recovery certificate for a sum of Rs.4,22,328/- was again issued by respondent no. 4 in the name of petitioner no. 2. The dispute went before the District Electricity Court, which vide order dated 10th June, 2001 directed the Executive Engineer to issue a fresh recovery certificate in the name of the petitioner no. 1 and not to proceed against petitioner no. 2. Petitioner no. 1 also approached District Consumer Forum by filing Case No. 149 of 2001 and the same is alleged to be still pending, which fact has not been denied in the counter affidavit. Another citation dated 14.09.2005 for recovery of a sum of Rs.36,61,247/- was again issued.

We have heard Shri W.H. Khan, learned Senior Counsel assisted by Shri J.H. Khan for the petitioners and Shri H.P. Dubey for respondent nos. 2 to 4 and learned Standing Counsel for the State respondents.

Learned Senior Counsel appearing for the petitioners submits that the sale deed executed by PICUP in favour of respondent no. 7 contains a stipulation that liability to pay the present and future were that of the vendee, therefore, said amount cannot be recovered from the petitioners and the same are liable to be recovered from respondent no. 7. It is next submitted that the amount of electricity dues could not have been recovered from personal assets of petitioner no. 2, inasmuch as the dues are that of the company and petitioner no. 2 never gave any personal guarantee for the same. The third submission advanced by learned counsel for the petitioner is that after permanent disconnection, the first recovery certificate was issued in September 1997 and thereafter nothing has been done in the matter and all of sudden, the recovery certificate has been issued in 2010 and the recovery proceedings are barred by limitation in view of the provisions contained in clause 6.15 of the Electricity Supply Code, 2005 relating to recovery of arrears.

In reply, learned counsel appearing for the Corporation submitted that admittedly there are outstanding dues of consumption of electrical energy against petitioner-company and the same is liable to be recovered from them.

We have considered the argument advanced by learned counsel for the parties and perused the record.

Undisputedly, the manufacturing unit was taken over by the PICUP on account of the default in payment of loan amount and was transferred in favour of respondent no. 7 by means of registered document dated 08.05.2002. It contains

a stipulation that all liabilities (present and future) in respect of rates, rents, taxes and dues of UPSEB, Municipalities and other local authorities etc. in respect of the said property shall be payable by the vendee from the date of execution of the sale deed.

Based on the aforesaid clause contained in the sale deed, it has been contended that liability, if any, stands shifted on the vendee, respondent no. 7. Prima facie, the argument appears to be very attractive, but on a little deeper consideration, the fallacy in the argument is apparent. The petitioners are not a party to the document. It is a bilateral document between the PICUP and respondent no. 7 and the petitioner and respondent nos. 2 to 4 not being a signatory or party to the said document, the terms and conditions enumerated therein does not bind them. It may be binding between the PICUP and respondent no. 7, if any dispute in respect of said dues arises, but the petitioners cannot be permitted to take advantage of the same to contend that any liability on account of the said conditions, stand shifted on the vendee. The demand for supply and use of electrical energy by the petitioner is being made under the terms of contract between the supplier and the petitioners.

An identical issue came up for consideration before the Hon'ble Apex Court in the case of **Pashmianchal Vidyut Vitran Nigam Limited & Ors. Vs. DVS Steels and Alloys Private Limited & Ors., (2009) 1 SCC 210**. One of the question before the Hon'ble Apex Court in the said case for consideration was whether the supplier may recover the electricity dues from a purchaser of the subdivided plot. It was held in paragraph 11 of the report as under.

"The supply of electricity by a distributor to a consumer is 'sale of goods'. The distributor as the supplier, and the owner/ occupier of a premises with whom it enters into a contract for supply of electricity are the parties to the contract. A transferee of the premises or a subsequent occupant of a premises with whom the supplier has no privity of contract cannot obviously be asked to pay the dues of his predecessor-in-title or possession, as the amount payable towards supply of electricity does not constitute a 'charge' on the premises. A purchaser of a premises, cannot be foisted with the electricity dues of any previous occupant, merely because he happens to be the current owner of the premises. The supplier can therefore neither file a suit nor initiate revenue recovery proceedings against a purchaser of a premises for the outstanding electricity dues of the vendor of the premises, in the absence of any contract to the contrary."

In view of the aforesaid, the first argument advanced on behalf of

petitioners has no merit and is not liable to be accepted.

Insofar as second argument is concerned, it is a well settled legal position that a Director of the Company cannot be held personally liable for payment of electricity dues by the consumer company, unless he has given an undertaking or personal guarantee for recovery of dues from his personal assets. A categorical assertion has been made in the writ petition that petitioner no . 2 never gave any personal guarantee and there is no denial of the said fact in the counter affidavit. However, the argument advanced by learned counsel for the petitioner in this regard stands belied from the facts pleaded.

A perusal of the impugned citation filed as Annexure 1 to the writ petition goes to show that it has been issued in the name of M/s. Rajee Steels Pvt. Ltd. through Director, Jeevan Shanker. Since the impugned recovery certificate has not being issued in the name of petitioner no. 2 in his personal capacity, as such, the argument advanced is not available to the petitioner.

The third contention advanced by the learned counsel for the petitioners is based upon clause 6.15 of the Code, 2005, which reads as under.

"6.15 Recovery of Arrears.- (a) The payments due to the Licensee shall be recovered as per provision of Section 56 of the Act, and arrears of land revenue as per the provisions of the U.P. Government Electrical Undertaking (Dues Recovery) Act, 1958, as amended from time to time.

(b) Notwithstanding anything contained in any other law for the time being in force, no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges of electricity supplied, and the supply of the electricity shall not be disconnected by licensee for this reason.

[Explanation.- The date from which such charges becomes 'first due', needs to be correctly interpreted. If as a result of regular meter reading/inspection of installation of consumer, such charges/penalties levied as per this code or tariff schedule, shall become first due counted from the due date of payment of such a bill, and such bill shall be provided to the consumer not later than two billing cycle for that category of consumer.]"

From a perusal of clause 6.15 of the Code, 2005, it is borne out that dues from the consumer may be recovered within two years from the date when such becomes first due. Meaning thereby, ordinarily, the outstanding dues for the electricity consumption shall not be recovered after lapse of two years, but the limitation of two years may be extended further in case it is established that the amount due, is continuously shown as recoverable in lieu of arrears of charges of electricity supply. Meaning thereby, in case, notices are sent to the consumer before expiry of two years and the process continues on some reasonable, just and proper grounds, then the sum recoverable may be recovered as arrears of land revenue in terms of clause (1) (b) of Section 6.15 of the Code, 2005. However, in

case, the Corporation keeps silence and fails to establish that it has made efforts for recovery of dues, then after lapse of two years, the electricity dues are not liable to be recovered from the consumer.

While filing counter affidavit, respondent-corporation has not explained as to whether after first recovery notice, which was wrongly issued in the name of petitioner no. 2, any demand notice was sent showing that the outstanding dues has been continuously shown as recoverable as arrears of charges for supply of electrical energy. Counter affidavit of respondent corporation is absolutely silent on this issue. According to the averment made in the counter affidavit, the first recovery certificate was issued in the name of petitioner no. 2 on 15.09.1997. However, without disclosing the date, it has categorically been mentioned that supply of electricity was permanently disconnected and permanent disconnection bill was finalised for a sum of Rs.36,61,248.14/-. The answering respondent-corporation has not even cared to mention the date of permanent disconnection and the date of final bill. On the contrary, it has been stated in paragraph 24 of the counter affidavit that final permanent disconnection bill was prepared long back and the petitioner did not raise any objection against the final permanent disconnection bill. In paragraph 27 of the counter affidavit, it has been stated as under.

“That the contents of paragraph no. 36 of the writ petition are incorrect and as such denied. It is most respectfully submitted that before issuing the recovery certificate under Section 5 of the U.P. Government Electrical (Dues Recovery) Act, 1958 (in short the Act, 1958), the demand notice under Section 3 of the Act, 1958 was issued. The petitioners had been contesting the recovery proceedings since inception and, therefore, it does not lie in their mouth to say that the demand notice under Section 3 of the Act, 1958 was never served upon the petitioners.”

In view of the aforesaid facts and discussions and clause 6.15 of the Code, 2005, the irresistible conclusion is that recovery proceedings initiated against petitioner no. 1 in 2010 after disconnection made in 1997 is barred by limitation and the respondent-corporation has no right to recover the outstanding dues in the name of charges for supply of electrical energy after expiry of period of limitation.

The recovery proceedings initiated against the petitioner no. 1 is clearly barred by time and is not liable to be sustained and stands quashed.

Writ petition, accordingly, stands allowed.

However, in the facts and circumstances, we do not make any order as to costs.

22.04.2016
VKS